Historical Patterns, New Contexts:
The Dodd-Frank Act and The Cycle of Regulation

Dana Briner
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Dr. Williams
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Laws are spider webs through which the big flies pass and the little ones get caught.[1]

—Honoré de Balzac

[1]Honoré de Balzac, *The Firm of Nucingen*, James Waring, (The Floating Press, 2014) 89.

ABSTRACT

This paper examines the objectives of the Dodd-Frank Act, a series of federal regulations designed to address the regulatory and risk management failures that led to the 2008 financial crisis by implementing stricter oversight on banks and their financial practices. First, I provide a brief history of banking regulation and the 2008 Financial Crisis to contextualize the implementation of Dodd-Frank. Next, I detail the regulatory gaps and risk management failures exposed by the 2008 Global Financial Crisis and the subsequent reforms the Dodd-Frank Act introduced. To conclude, I discuss the cyclical nature of regulation and its pertinence to the Dodd-Frank Act, as reflected in the Silicon Valley Bank Crisis of 2023 and the rise of the alternative asset industry.

I. Introduction

During the long recovery from the 2008 Global Financial Crisis, at a Washington D.C. press conference, President Barack Obama stated, "I proposed a set of reforms to empower consumers and investors, to bring the shadowy deals that caused this crisis into the light of day, and to put a stop to taxpayer bailouts once and for all. Today, thanks to a lot of people in this room, those reforms will become the law of the land."[2] Yet, just twelve and a half years later, the Federal Reserve once again found itself in a position where it needed to execute a series of taxpayer bailouts of banks. The Dodd-Frank Act was a series of reforms directed towards the banking sector to mitigate the excessive risk-taking practices that contributed to the 2008 Global Financial Crisis (GFC).[3] It was fundamentally a political reaction to the eroded confidence in the financial sector caused by the collapse of major institutions and the resulting economic upheaval. Dodd-Frank substantially increased oversight in financial markets and banking institutions to restore consumer confidence. However, because it was meticulously designed to address the risk-taking practices that led to the GFC, the Dodd-Frank Act could not anticipate all future risks and financial innovations, making it inherently limited in scope. As a result, financial innovations continued to evolve faster than regulatory responses. This was evident in the 2023 collapse of Silicon Valley Bank,[4] a failure predicted by many economists and politicians immediately after the legislation passed.[5] Despite its intentions, Dodd-Frank was unable to

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[2]Barack Obama, "Remarks by the President on Signing the Dodd-Frank Wall Street Reform and Consumer Protection Act." *The White House President Barrack Obama*, https://obamawhitehouse.archives.gov/the-press-office/remarks-president-signing-dodd-frank-wall-street-reform-and-consumer-protection-act.

[3]Paul H. Schultz, John Dearie, Chester Spatt, Lawrence J. White, Thomas Hoenig, Anil K. Kashyap, Anjan V. Thakor, John Walsh, James Overdahl, and James R. Barth. *Perspectives on Dodd-Frank and Finance*. Cambridge: MIT Press, 2014, 1. https://www.proquest.com/docview/2131063494/$N?accountid=36348&sourcetype=Books

[4]Isaac Chotiner, "The Regulatory Breakdown Behind the Collapse of Silicon Valley Bank," *The New Yorker*, March 19, 2023. https://www.newyorker.com/news/q-and-a/the-regulatory-breakdown-behind-the-collapse-of-silicon-valley-bank

[5]Norbert J. Michel, "Why Big-Wig Financial Execs Love The Dodd-Frank." The Heritage Foundation. July 14, 2016. https://www.heritage.org/government-regulation/commentary/why-big-wig-financial-execs-love-dodd-frank

eliminate risk from the financial sector. Historically, risk-taking practices have persisted despite regulatory efforts; consequently, banking crises have not and likely will not be regulated out of existence.

To place the Dodd-Frank Act within the historical context of banking regulation, I compare it with the Glass-Steagall Act's response to the Great Depression to highlight the cyclical and rather predictable pattern of banking crises, followed by regulation and ultimately another crisis. I then outline the tenets of the 2008 Global Financial Crisis that led to the enactment of Dodd-Frank. Next, I detail and assess the effectiveness of Dodd-Frank's provisions. Finally, I examine the implications of the Dodd-Frank Act, explaining the Silicon Valley Bank collapse and the dramatic rise of the alternative asset industry.

II. Banking Regulation Pre-Depression

Throughout the history of banking, regulators have failed to keep up with the latest innovations and have consistently evolved regulations depending on the historical circumstances.[6] The early twentieth century was characterized by minimal federal oversight and mixed state regulations. Banks could operate with higher risk, which often maximized returns but increased the likelihood of substantial losses. The incentive structure in banks has always been asymmetric, favoring management by allowing them to capture a portion of any profits while shareholders and the government bear the possibility of catastrophic losses. This risk-taking fueled by poorly designed incentives made banks unstable. From 1929 to 1939, the Great Depression ensued: the stock market crashed, leading to massive bank failures and causing

[6]Norbert Michel, "DODD-FRANK'S EXPANSION OF FED POWER: A HISTORICAL PERSPECTIVE," *CATO Journal* 34, no. 3, 566. https://research.ebsco.com/c/v3hf73/search/details/26gxuohuan?limiters=None&q=dodd-frank+act&db=31h

many banks to lose the majority of their capital to bad investments.[7] Depositors withdrew their funds to avoid further losses due to the ongoing failures of banks and worsening economic conditions. Widespread job losses led to a severe decline in consumer spending, culminating in an economic collapse and pervasive poverty — a condition the Hoover administration was in no hurry to address.

III. Banking Regulation Post-Depression

In 1933, Senator Carter Glass and Representative Henry B. Steagall proposed the Glass-Steagall Act to curb the excessive risk-taking by banks that contributed to the Great Depression. Glass-Steagall cleanly separated commercial and investment banks to reduce risk.[8] The commercial banks would be highly regulated, would only be allowed to make safe loans, and would be required to hold substantial capital in reserve against those loans; consumers would therefore have more confidence in the banking system. This separation successfully increased stability in the banking sector, reducing conflicts of interest and moral hazard (the tendency to take risks when insulated from consequences).[9] According to Norbert Michel, a researcher in financial regulation, Henry B. Stegall championed the Act as the one that would bring[10] "the

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[7]Norbert Michel, "DODD-FRANK'S EXPANSION OF FED POWER: A HISTORICAL PERSPECTIVE," *CATO Journal* 34, no. 3, 558. https://research.ebsco.com/c/v3hf73/search/details/26gxuohuan?limiters=None&q=dodd-frank+act&db=31h ; Noah Berman, "What Is the Dodd-Frank Act?," *Council on Foreign Relations,* May 8, 2023, https://www.cfr.org/backgrounder/what-dodd-frank-act#chapter-title-0-9.

[8]William J. Quirk, "Too Big to Fail and Too Risky to Exist: FOUR YEARS AFTER THE 2008 FINANCIAL CRISIS, BANKS ARE BEHAVING MORE RECKLESSLY THAN EVER," *The American Scholar* 81, no. 4 (2012): 31–43, 40, https://www.jstor.org/stable/43870806?searchText=Dodd+frank&searchUri=%2Faction%2FdoBasicSearch%3FQuery

[9] William J. Quirk, "Too Big to Fail and Too Risky to Exist: FOUR YEARS AFTER THE 2008 FINANCIAL CRISIS, BANKS ARE BEHAVING MORE RECKLESSLY THAN EVER," *The American Scholar* 81, no. 4 (2012): 31–43, 40, https://www.jstor.org/stable/43870806?searchText=Dodd+frank&searchUri=%2Faction%2FdoBasicSearch%3FQuery

[10]Norbert Michel, "DODD-FRANK'S EXPANSION OF FED POWER: A HISTORICAL PERSPECTIVE," *CATO Journal* 34, no. 3, 562. https://research.ebsco.com/c/v3hf73/search/details/26gxuohuan?limiters=None&q=dodd-frank+act&db=31h

system with its vast resources into full harmony with the advanced policies of the present Roosevelt administration."[11] Steagall was correct at least up until the 2008 Financial Crisis, when financial innovations to evade regulation went beyond anything he could have reasonably predicted in his time.

IV. The 2008 Financial Crisis

Despite Steagall's claim, the 2008 Global Financial Crisis (GFC) culminated in massive bank failures. The GFC resulted from a combination of high-risk practices by investment banks. Largely backed by financial innovations, these practices featured subprime mortgages, securitization, leveraging, and derivatives.[12] Banks issued subprime mortgages — loans given to borrowers with poor credit histories — under the assumption that rising property values would compensate for the higher risk of default. This assumption proved faulty, as property prices do not always rise. When property values declined, many borrowers defaulted on their loans. To manage this risk, banks bundled subprime mortgages into securities — a process known as securitization — and sold them to investors. By diversifying the risk of default across many loans, the overall risk would be reduced, making these securities more attractive to investors. Financial institutions assumed that even if some borrowers defaulted, the majority would repay their loans, ensuring profitability for the securities as a whole. Before 2008, banks believed the risk was spread out through these bundled loans, relying on the historically accurate assumption that property prices would not decline simultaneously. Both securitization and leveraging shared this common assumption that risks could be managed and distributed across multiple financial

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[11]Norbert Michel, "DODD-FRANK'S EXPANSION OF FED POWER: A HISTORICAL PERSPECTIVE," *CATO Journal* 34, no. 3, 562. https://research.ebsco.com/c/v3hf73/search/details/26gxuohuan?limiters=None&q=dodd-frank+act&db=31h.
[12]Martin Neil Baily, Robert E. Litan, "The Origins of the Financial Crisis." Brookings Institution, November 2008, https://www.brookings.edu/wp-content/uploads/2016/06/11_origins_crisis_baily_litan.pdf.

products. Leveraging, like securitization, was based on the assumption that not all investors would demand their money at once. Leveraging involves maintaining high levels of debt relative to equity, allowing banks to amplify their investments. This strategy maximized profits during economic booms because the borrowed money could be invested to generate higher returns. However, during economic downturns, this same leverage amplified losses,[13] as banks struggled to meet withdrawal demands and repay debts.[14] Derivatives, including credit default swaps (CDS) and mortgage-backed securities (MBS), added another layer of complexity. While securitization involves bundling loans into securities to spread risk, derivatives are financial contracts whose value is derived from the performance of these securities. These instruments were designed to manage and transfer risk but ended up magnifying the financial instability. By allowing banks and investors to bet on the performance of bundled mortgages, derivatives created a complex web of financial obligations. When the underlying assets (subprime mortgages) failed, the interconnected system of derivatives intensified the crisis. These intertwined practices and faulty assumptions led to ill-advised bets, ultimately contributing to the financial collapse during the GFC.

The faulty assumptions of the financial sector were exemplified in the collapse of Lehman Brothers. The bank engaged in excessive leveraging and investment in derivatives, such as mortgage-backed securities (MBS) and credit default swaps (CDS). When the underlying subprime mortgages began to fail, Lehman Brothers' financial condition deteriorated rapidly. Despite being aware of the bank's perilous condition, regulators and Wall Street chose not to bail out Lehman Brothers due to political pressure and concerns around moral hazard — the fear that

[13]Martin Neil Baily, Robert E. Litan, "The Origins of the Financial Crisis," Brookings Institution, November 2008, 8, https://www.brookings.edu/wp-content/uploads/2016/06/11_origins_crisis_baily_litan.pdf.
[14]Noah Berman, "What Is the Dodd-Frank Act?," *Council on Foreign Relations,* May 8, 2023, https://www.cfr.org/backgrounder/what-dodd-frank-act#chapter-title-0-9.

rescuing the bank would encourage other firms to engage in similar reckless behavior.[15] The consequences of the government's decision to permit the failure of Lehman Brothers were four-fold: it triggered a liquidity crisis throughout the financial sector, severely damaged investor confidence, led to a widespread economic downturn,[16] and forced the U.S. Treasury and the Federal Reserve to provide massive bailouts to stabilize the system. Many financial institutions had relied on Lehman Brothers as a strong counterparty, and its failure caused a liquidity crisis among these institutions, amplifying financial instability. The collapse also led to global stock market crashes, a deep recession, and widespread foreclosures, further damaging consumer confidence and compounding the downturn. The lack of regulation and oversight had allowed these risky practices to proliferate unchecked, and financial institutions failed to anticipate the risk of widespread defaults and systemic impact. This, combined with shattered investor confidence and economic instability led to the proposal of the Dodd-Frank Act to mitigate these practices and prevent similar failures in the future.

V. The Dodd-Frank Act

Just as the Glass-Steagall Act was enacted in response to the Great Depression, *The Dodd-Frank Wall Street Reform and Consumer Protection Act of 2010* was enacted in response to the Global Financial Crisis GFC. According to the Dodd-Frank Act, its intent was "to promote the financial stability of the United States by improving accountability and transparency in the financial system, to end 'too big to fail', to protect the American taxpayer by ending bailouts, to

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[15]James Pethokoukis, "So Why Did the Fed Let Lehman Fail?," *American Enterprise Institute,* July 18, 2016, https://www.aei.org/economics/so-why-did-the-fed-let-lehman-fail/#:~:text=The%20available%20evidence%20supports%20the,I%20can%27t%20be%20Mr. ; James B. Stewart, Peter Eavis, "Revisiting the Lehman Brothers Bailout That Never Was," *The New York Times,* September 29, 2014, https://www.nytimes.com/2014/09/30/business/revisiting-the-lehman-brothers-bailout-that-never-was.html.

[16]Martin Neil Baily, Robert E. Litan, "The Origins of the Financial Crisis," Brookings Institution, November 2008, 30, https://www.brookings.edu/wp-content/uploads/2016/06/11_origins_crisis_baily_litan.pdf.

protect consumers from abusive financial services practices, and for other purposes."[17] Dodd-Frank aimed to address the financial crisis through comprehensive measures, and it was structured into 16 titles and over 2,300 pages,[18] each focusing on specific aspects such as consumer protection, systemic risk regulation, and financial transparency. Each title of the Dodd-Frank Act targeted different facets of the crisis, including measures to prevent predatory lending practices, enhance the oversight of financial institutions, and impose stricter regulatory requirements to mitigate systemic risks. Dodd-Frank also included sections that sought to address innovations in the financial sector, such as complex financial instruments and high-risk trading practices, which had significantly contributed to the crisis. This extensive scope rendered the legislation exhaustive. Nevertheless, Dodd-Frank comprised a series of reforms that sought to boost transparency and accountability within the financial sector, including measures to protect consumers, regulate systemic risk, end "too big to fail," and strengthen regulatory frameworks.[19]

However, these statements only reflect the intentions of the Dodd-Frank Act; whether it would protect American taxpayers by ending bailouts was debated from its inception.[20] This debate arose because the Dodd-Frank Act was not merely a response to economic instability but was primarily a reaction to the political mandate to reform the financial system.[21] The bill, introduced by House Financial Services Committee chairman Barney Frank in 2009 and by

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[17]United States, 2010, *Dodd-Frank Wall Street Reform and Consumer Protection Act*, Washington, D.C.: U.S. Government Printing Office, 1, https://purl.fdlp.gov/GPO/gpo273.
[18]Sanjay Anand, *Essentials of the Dodd-Frank Act*, Newark: John Wiley & Sons, Incorporated, 2011, 1. https://www.proquest.com/docview/2134835048/$N?accountid=36348&sourcetype=Books.
[19]Paul H. Schultz, John Dearie, Chester Spatt, Lawrence J. White, Thomas Hoenig, Anil K. Kashyap, Anjan V. Thakor, John Walsh, James Overdahl, and James R. Barth. *Perspectives on Dodd-Frank and Finance*. Cambridge: MIT Press, 2014, 1-2. https://www.proquest.com/docview/2131063494/$N?accountid=36348&sourcetype=Books.
[20]United States, 2010, *Dodd-Frank Wall Street Reform and Consumer Protection Act*, Washington, D.C.: U.S. Government Printing Office, https://purl.fdlp.gov/GPO/gpo273, 1.
[21]Barney Frank, "17. The Economic and Political Implications of the Dodd-Frank Act". *After the Crash: Financial Crises and Regulatory Responses*, edited by Sharyn O'Halloran and Thomas Groll, New York Chichester, West Sussex: Columbia University Press, 2019, pp. 261-280, https://doi.org/10.7312/ohal19284-019.

Senator Chris J. Dodd into the Senate Banking Committee, was officially named the Dodd-Frank Act on June 29, 2010.[22] Upon signing the bill into law on July 21, 2010, Obama delivered a speech highlighting the importance of the legislation. He stated, "In the end, our financial system only works –- our market is only free –- when there are clear rules and basic safeguards that prevent abuse, that check excess, that ensure that it is more profitable to play by the rules than to game the system."[23] By emphasizing the necessity of clear rules and safeguards, Obama underscored the need for regulations to control the inherent excesses of capitalism. He suggested that the Dodd-Frank Act embodied a set of well-intentioned rules that could confine the dynamism of capitalism, thereby preventing it from manifesting in ways deemed more risky.

Following President Obama's emphasis on financial regulatory reforms, Senator Dodd expressed similar views in his statements. In a press release, Dodd contended that under Dodd-Frank, there would be no more bailouts, consumers would have renewed confidence in the economy, and the proprietary trading market would no longer indulge in excessive risk-taking.[24] He characterized the impact of the law in the following way, "After today, regulators will no longer be able to ignore emerging threats to the economy. And financial operators, from the trillion-dollar derivatives market to small-time payday lending, will no longer be able to operate in the shadows."[25] Dodd's claim, like Obama's, assumed that capitalism could be regulated to function as codified by law, with clear rules preventing abuses and ensuring stability. While a

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[22]Sanjay Anand, *Essentials of the Dodd-Frank Act*, Newark: John Wiley & Sons, Incorporated, 2011, 29, https://www.proquest.com/docview/2134835048/$N?accountid=36348&sourcetype=Books.
[23]Barack Obama, "Remarks by the President on Signing the Dodd-Frank Wall Street Reform and Consumer Protection Act." *The White House President Barrack Obama*, https://obamawhitehouse.archives.gov/the-press-office/remarks-president-signing-dodd-frank-wall-street-reform-and-consumer-protection-act.
[24]Sanjay Anand, *Essentials of the Dodd-Frank Act*, Newark: John Wiley & Sons, Incorporated, 2011, 29, https://www.proquest.com/docview/2134835048/$N?accountid=36348&sourcetype=Books.
[25]Sanjay Anand, *Essentials of the Dodd-Frank Act*, Newark: John Wiley & Sons, Incorporated, 2011, 29, https://www.proquest.com/docview/2134835048/$N?accountid=36348&sourcetype=Books.

claim noble in its ideals, it does not account for what constitutes a capitalist system — innovation and competition — which can often push the boundaries of regulatory frameworks.

Competition and innovation will persist even while respecting the law, since people seek to maximize returns while conforming to the letter of the law. This innate dynamism defines capitalism. As the act was political, it is unsurprising that Republican Senator Richard Shelby was against the Dodd-Frank bill, believing the inherent competition in the American economy would render it useless. Shelby, in a speech criticizing Dodd-Frank on July 15, 2010 in Washington D.C.[26] stated, "The result is a 2,300 page legislative monster that expands the scope and power of ineffective bureaucracies, creates vast new bureaucracies with little accountability, and seriously undermines the competitiveness of the American economy."[27] Shelby represented the common argument made against increased financial regulation: the government's expansion will undermine the competitive nature of America's economy; this regular sentiment has always been political rather than solely economic. The actual signing served not only as the passing of a law, but also as a precedent for the ongoing political and economic debates surrounding the Dodd-Frank Act. Similar debates were reflected in each of Dodd-Frank's specific provisions, with the most debated including the *Title I: Financial Stability Oversight Council, Title II: the Orderly Liquidation Authority, Title VI: the Volcker Rule, Derivatives Regulation,* and *Title X: the Consumer Financial Protection Bureau.*

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[26]Richard Shelby, "Dodd-Frank Not Real Reform, Just More of The Same," *The Reference Shelf: American Political Speeches*, Salem Press https://online.salempress.com/articleDetails.do?bookId=819&articleName=RSPS16_0030&searchText=Dodd%20Fran.

[27]Richard Shelby, "Dodd-Frank Not Real Reform, Just More of The Same," *The Reference Shelf: American Political Speeches*, Salem Press https://online.salempress.com/articleDetails.do?bookId=819&articleName=RSPS16_0030&searchText=Dodd%20Fran.

The Financial Stability Oversight Council under Title I, Section 113[28] of the Dodd-Frank Act, marks the farthest reach of the federal government into the financial markets.[29] The Financial Stability Oversight Council's (FSOC) main goal was to ensure financial stability. FSOC was intended to achieve stability in the financial sector by identifying systemic risks, promoting market discipline, and responding to emerging threats.[30] Specifically, FSOC was intended to regulate institutions considered "too big to fail," ensuring they do not pose a systemic risk by their potential distress or failure. "Too big to fail," referred to financial institutions so large that their failure puts the rest of the sector at risk if they became troubled. For instance, Lehman Brothers held risky longer term assets with low capital reserves.[31] When they failed, it caused a ripple effect throughout the sector due to their extensive debts to other institutions. FSOC now had the authority to designate banks — any large banks or non-bank financial companies — as systemically important financial institutions, subjecting them to stricter oversight and higher liquidity and capital requirements. FSOC recommended general supervisory priorities and principles to other regulators.

The primary concern with FSOC was whether it would improve financial stability. Particularly, the problem regarded moral hazard — that a financial institution would not ultimately bear the losses associated with their own actions, but they would keep the profits

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[28]United States, 2010, *Dodd-Frank Wall Street Reform and Consumer Protection Act*, Washington, D.C.: U.S. Government Printing Office, https://purl.fdlp.gov/GPO/gpo273 , Section 113.

[29]"The Dodd-Frank Act," *The Heritage Foundation*, https://www.heritage.org/markets-and-finance/heritage-explains/the-dodd-frank-act; Noah Berman, "What Is the Dodd-Frank Act?," *Council on Foreign Relations,* May 8, 2023, https://www.cfr.org/backgrounder/what-dodd-frank-act#chapter-title-0-9.

[30]Anand, Sanjay. *Essentials of the Dodd-Frank Act*. Newark: John Wiley & Sons, Incorporated, 2011, 2. https://www.proquest.com/docview/2134835048/$N?accountid=36348&sourcetype=Books
United States, 2010, *Dodd-Frank Wall Street Reform and Consumer Protection Act*, Washington, D.C.: U.S. Government Printing Office, https://purl.fdlp.gov/GPO/gpo273 , Sections 111-123.

[31] Martin Neil Baily, Robert E. Litan, "The Origins of the Financial Crisis," *Brookings Institution*, November 2008, 30, https://www.brookings.edu/wp-content/uploads/2016/06/11_origins_crisis_baily_litan.pdf

associated with their actions.[32] Heritage described the moral hazard predicament:, "The FSOC enshrines the too-big-to-fail problem because it identifies firms whose failure regulators believe would cause a financial crisis. The FSOC's very existence increases the likelihood of future financial crises and bailouts."[33] If an institution does bear their losses, they would have no reason to act cautiously because there is no consequence for excessive risk taking.[34] Why would banks act cautiously if there are no consequences for them? Rather, banks will take more risk. This fact has always been attributed to the simplistic nature of capitalism — every individual acts to maximize their profits Thus, "The FSOC enshrines the too-big-to-fail problem"[35] FSOC rather than accounting for the motivations of capitalism.

In Title II: Section 204, The Dodd-Frank Act established *The Orderly Liquidation Authority* (OLA) to ensure that the failure of a bank would not harm the financial sector like the collapse of Lehman Brothers harmed the markets during the GFC. The OLA set out to protect the financial sector by liquidating failing financial institutions, minimizing investor losses, and stabilizing the system.[36] However, the issue remained that the government, with no profit incentive, was responsible for liquidating a failing institution. Since the financial institution had already failed and its management had no profit incentive, the lack of profit incentive for both the government and the failed institution's management would likely result in artificially low liquidation values of the assets. The OLA is noble in ideals, but poorly incentivized to minimize losses. In a report for the left-leaning Brookings Institution, scholars proposed the title did have

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[32]Gary Burtless, "Too Big to Fail: 'Systemic Importance' and Moral Hazard," *Brookings Institution*, September 30, 2009, https://www.brookings.edu/articles/too-big-to-fail-systemic-importance-and-moral-hazard/.
[33]*The Heritage Foundation*, "The Dodd-Frank Act," https://www.heritage.org/markets-and-finance/heritage-explains/the-dodd-frank-act.
[34]Gary Burtless, "Too Big to Fail: 'Systemic Importance' and Moral Hazard," *Brookings Institution*, September 30, 2009, https://www.brookings.edu/articles/too-big-to-fail-systemic-importance-and-moral-hazard/.
[35]*The Heritage Foundation*, "The Dodd-Frank Act," https://www.heritage.org/markets-and-finance/heritage-explains/the-dodd-frank-act.
[36]Anand, Sanjay. Essentials of the Dodd-Frank Act. Newark: John Wiley & Sons, Incorporated, 2011, 2. https://www.proquest.com/docview/2134835048/$N?accountid=36348&sourcetype=Books

the idea right, but it did so at the expense of taxpayers.[37] It would then be necessary to be transparent regarding the claims against the failed institution in order to protect taxpayers. Yet again, the problems that arose were a product of incentives misaligned, which was inevitable given the extensive regulation. The aim of the Orderly Liquidation Authority (OLA) in Title II was to provide a way to shut down failing companies and banks smoothly so they do not affect the rest of the financial sector in the same way as 2008.[38] If successful, OLA would prevent financial crises, avoid taxpayer bailouts, and ensure financial stability. The process of liquidation entailed first the determination if the firm's failure would impact the economy, then, the Federal Deposit Insurance Corporation would manage the firm's liquidation, selling off assets, and settling debts. Each firm must create a plan for how they would be dismantled without harming the broader economy. The Treasury would initially fund this plan if necessary, but they would then reimburse themselves by selling assets. This approach created problems around the issue of moral hazard – firms would engage in more excessive risk-taking knowing they'd be bailed out. Taxpayers would have to worry about the cost if the liquidation funding was insufficient, and furthermore these stringent regulations could stifle financial innovation and competition.

The Volcker Rule is perhaps one of the most debated sections of the Dodd-Frank Act. The goal of The Volcker Rule in Title VI of the Dodd-Frank Act was to limit the risk-taking that facilitated the GFC. The Volcker Rule mitigated risk-taking by limiting proprietary trading in financial firms and banks backed by taxpayers.[39] Consequently, banks were required to invest

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[37] *Wall Street Journal,* "Constructive Changes for Title II of Dodd-Frank; Title II of the Dodd-Frank Act, which Supplements the Bankruptcy Code Insolvency Regime with a Special Orderly Liquidation Authority for Financial Firms, should be Modified rather than Repealed, Write H. Rodgin Cohen and Michael Wiseman in a Report for the Brookings Institution." *(Online),* March 21, 2017, https://exeter.idm.oclc.org/login?url=https://www.proquest.com/newspapers/constructive-changes-title-ii-dodd-frank-a.

[38] Sanjay Anand, *Essentials of the Dodd-Frank Act*, Newark: John Wiley & Sons, Incorporated, 2011. https://www.proquest.com/docview/2134835048/$N?accountid=36348&sourcetype=Books.

[39] Sanjay Anand, Essentials of the Dodd-Frank Act, Newark: John Wiley & Sons, Incorporated, 2011, . https://www.proquest.com/docview/2134835048/$N?accountid=36348&sourcetype=Books; Wall Street Journal, "So

less of their money in high-potential return investments, making the investments safer, but also less profitable. The goal was to increase stability by limiting proprietary trading. This rule achieved (at least until it was relaxed under Trump's administration) limiting investments, increasing compliance and monitoring, and setting in place restrictions on proprietary trading. However, these restrictions were absurdly complex,[40] which created loopholes to enforcement of the regulations.[41] Given its difficulty to enforce, the Volcker Rule was, and continues, to be criticized as to whether it could ever be effective. It also impacted market liquidity; the removal of banks from large portions of the investment industry eliminated large numbers of providers of liquidity. Furthermore, the Volcker Rule was not only considered ineffective, but deemed a large regulatory burden, and unnecessary. An article in the *Wall Street Journal* frames this well: "The Volcker Rule is supposed to prohibit a bank's purchase of securities and derivatives for its own account, but it allows such purchases if they are intended to "mitigate" the "risk" of what the bank already owns. The distinction, which depends on motivation, will be hard to draw in the real world. The exception may swallow the rule."[42]

Much for the Volcker Rule; Even in 298 pages, regulators can't decide what to regulate" Oct 25, 2011, https://www.proquest.com/docview/900661990/AC6A9A8832B3443FPQ/3?sourcetype=Newspapers ; Noah Berman, "What Is the Dodd-Frank Act?," Council on Foreign Relations, May 8, 2023, https://www.cfr.org/backgrounder/what-dodd-frank-act#chapter-title-0-9.

[40] Baily, Martin Neil, Aaron Klein, and Justin Schardin. "The Impact of the Dodd-Frank Act on Financial Stability and Economic Growth," *RSF: The Russell Sage Foundation Journal of the Social Sciences* 3, no. 1 (2017): 20–47, 21, https://doi.org/10.7758/rsf.2017.3.1.02 ; Noah Berman, "What Is the Dodd-Frank Act?," Council on Foreign Relations, May 8, 2023, https://www.cfr.org/backgrounder/what-dodd-frank-act#chapter-title-0-9.

[41] "So Much for the Volcker Rule; Even in 298 pages, regulators can't decide what to regulate", *Wall Street Journal, https://www.proquest.com/docview/900661990/AC6A9A8832B3443FPQ/3?sourcetype=Newspapers*

[42] William J. Quirk, "Too Big to Fail and Too Risky to Exist: FOUR YEARS AFTER THE 2008 FINANCIAL CRISIS, BANKS ARE BEHAVING MORE RECKLESSLY THAN EVER," *The American Scholar* 81, no. 4 (2012): 31–43, 41, https://www.jstor.org/stable/43870806?searchText=Dodd+frank&searchUri=%2Faction%2FdoBasicSearch%3FQuery

The Consumer Financial Protection Bureau (CFPB), like the former provisions, aimed to address the causes of the financial crisis which contributed to banking failure.[43] In Title X of The Dodd-Frank Act, CFPB was created to restore consumer confidence in banks by protecting against risky practices, regulating financial products, and promoting financial education.[44] The CFPB successfully enforced federal consumer financial laws and held financial institutions accountable for wrongful practices through fines and penalties. The CFPB also successfully regulated financial practices, served as a consumer complaints database, and offered consumer education. However, the CFPB was controversial because it was said to violate the U.S. Constitution by design – it did not have ongoing oversight from either the legislative or executive branches. According to *The Wall Street Journal*, it violated the clause of the U.S. Constitution: "No Money Shall be Drawn From The Treasury, but in Consequence of Appropriations Made By Law."[45] Increased regulatory requirements led to higher compliance costs for banks without accounting for how these costs would push banks to restructure over time.

The Derivatives Regulation in The Dodd-Frank Act aimed to address the risk-taking practices which lead to the GFC by increasing market transparency, reducing systemic risk, enhancing market integrity, and promoting financial stability.[46] The regulation of derivatives increased oversight, central clearing, exchange trading, reporting requirements, and margin

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[43]Sanjay Anand, *Essentials of the Dodd-Frank Act*. Newark: John Wiley & Sons, Incorporated, 2011, 3. https://www.proquest.com/docview/2134835048/$N?accountid=36348&sourcetype=Books

[44]Sanjay Anand, *Essentials of the Dodd-Frank Act*, Newark: John Wiley & Sons, Incorporated, 2011, https://www.proquest.com/docview/2134835048/$N?accountid=36348&sourcetype=Books; Noah Berman, "What Is the Dodd-Frank Act?," *Council on Foreign Relations,* May 8, 2023, https://www.cfr.org/backgrounder/what-dodd-frank-act#chapter-title-0-9.

[45]Adam J. White, "Supreme Court Ruling Against the CFPB Would Not Harm the Fed," *Wall Street Journal,* October 2, 2023. https://www.wsj.com/articles/supreme-court-ruling-against-the-cfpb-would-not-harm-the-fed-6af617be.

[46]Heath P. Tarbert, The Enduring Legacy of the Dodd-Frank Act's Derivatives Reforms, *Journal of Financial Regulation*, Volume 6, Issue 2, 20 September 2020, Pages 159–171, https://doi.org/10.1093/jfr/fjaa011

requirements. However, the regulation's controversy lay in the compliance costs, competitiveness concerns, scope of regulation, and likely effectiveness, just as it did for the other provisions. All of these changes compounded to push derivatives outside the scope of regulators, not to limit them, which meant ultimately it was more risky. As Economist and Attorney Robert Litan wrote, "What's more, before the crisis, the market for derivatives was opaque: instead of trading derivatives on formal, transparent exchanges, individual firms bought and sold them privately with little oversight. Dodd-Frank requires many derivatives to be settled through central clearing-houses, where regulators can more easily monitor them."[47] This regulation was not effective as the logical outcome ensured; it merely pushed the risk taking that facilitated the crisis elsewhere.

VI. Ramifications of The Dodd-Frank Act

In practice, the Dodd-Frank Act in its individual provisions has proven relatively ineffective. And as a whole, Dodd-Frank has not succeeded in preventing further banking problems, as shown by the failure of Silicon Valley Bank in 2023, and as evidenced by the rise of the largely unregulated Alternative Asset Industry. The Silicon Valley Bank failed due to its poor risk management – the same reason which largely defined the bank failures in the 2008 financial crisis. The Dodd-Frank Act did not "put a stop to taxpayer bailouts once and for all."[48] This failure highlights the weaknesses in the regulatory framework that Obama claimed Dodd-Frank would rectify. The reason for both the failure of SVB and the rise of the Alternative Asset

[47]Robert Litan, "America's Brewing Debt Crisis: What Dodd-Frank Didn't Fix," *Foreign Affairs,* 113.https://www.jstor.org/stable/43946962?searchText=Dodd+frank&searchUri=%2Faction%2FdoBasicSearch%3FQu.

[48]Barack Obama, "Remarks by the President on Signing the Dodd-Frank Wall Street Reform and Consumer Protection Act." *The White House President Barrack Obama*, https://obamawhitehouse.archives.gov/the-press-office/remarks-president-signing-dodd-frank-wall-street-reform-and-consumer-protection-act.

Industry is quite simple; Dodd-Frank poorly incentivized both. The current arrangement creates incentives favoring risk, since profits are private and losses are shared. Gamblers should gamble with their own money and keep their losses as well as their profits.[49] Specifically, the Volcker Rule directly led to the growth of the Alternative Asset Industry. By limiting banks' speculative investments, the rule pushed them towards alternative asset managers, who were not subject to the same regulations. As a result, banks increased their investments in private equity, hedge funds, and other non-traditional asset classes, which were outside the scope of Dodd-Frank. Following this I will explain each of these failures and what they tell us about Dodd-Frank more specifically. More generally though, this regulation substantially reduced competition by materially increasing the regulatory burdens large banks face: "And competition is what drives free enterprise so that consumers benefit. When regulations take away the competition, they also take away the benefits."[50] A major cost of the bailout was the codification of the existing financial system: Paulson and his successor, Timothy Geithner, "hadn't just saved the banks, they'd also preserved a status quo that was dangerously broken, and in so doing they might have actually increased the danger lurking in our financial architecture."[51] Simply put, "Dodd-Frank

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[49]WILLIAM J. QUIRK, "Too Big to Fail and Too Risky to Exist: FOUR YEARS AFTER THE 2008 FINANCIAL CRISIS, BANKS ARE BEHAVING MORE RECKLESSLY THAN EVER," *The American Scholar* 81, no. 4 (2012): 31–43, 43, https://www.jstor.org/stable/43870806?searchText=Dodd+frank&searchUri=%2Faction%2FdoBasicSearch%3FQuery%3DDodd%2Bfrank%26so%3Drel&ab_segments=0%2Fbasic_search_gsv2%2Fcontrol&refreqid=fastly-default%3Aa427d2deb2f72aa27b45c19b73c6c93b

[50]Norbert J. Michel, "Why Big Wig Financial Execs Love The Dodd-Frank," *The Heritage Foundation*, July 14, 2016, https://www.heritage.org/government-regulation/commentary/why-big-wig-financial-execs-love-dodd-frank

[51]WILLIAM J. QUIRK, "Too Big to Fail and Too Risky to Exist: FOUR YEARS AFTER THE 2008 FINANCIAL CRISIS, BANKS ARE BEHAVING MORE RECKLESSLY THAN EVER," *The American Scholar* 81, no. 4 (2012): 31–43, 32, https://www.jstor.org/stable/43870806?searchText=Dodd+frank&searchUri=%2Faction%2FdoBasicSearch%3FQuery%3DDodd%2Bfrank%26so%3Drel&ab_segments=0%2Fbasic_search_gsv2%2Fcontrol&refreqid=fastly-default%3Aa427d2deb2f72aa27b45c19b73c6c93b

adds complexity to a system that needs simplicity. Both regulators and the courts need simple rules to enforce."[52]

The Silicon Valley Bank failure was a classic, rapid, bank run that led to its collapse.[53] The collapse was caused by large, uninsured deposits and the bank's investment in long-term assets which decreased in value due solely to rising interest rates, not expected credit related losses. Dodd-Frank was supposed to prevent such banking crises through stringent oversight and risk management requirements. However, the Dodd-Frank Act could not account for every possible scenario,[54] and the framework failed to adequately address risks associated with non-traditional bank operations and market conditions such as interest rate changes being solely responsible for market value losses. The Dodd-Frank Act did not contemplate the change in value of loans and bonds based on changes in interest rates alone. Dodd-Frank was not successful in its intent as a result. For all the incremental authority given to regulators under Dodd-Frank, they had missed the most basic risk to the value of a bank's assets – interest rate increases. Adding to the troublesome nature of this failure was that Signature Bank also failed around the same time, and for the same reasons. Signature Bank prominently featured former Congressman Barney Frank as one of its board members, a bitter irony given his authorship of the Dodd-Frank Act.

Rather than eliminate the risk it set out to address, Dodd-Frank simply moved where it was housed– the alternative asset industry. The alternative asset industry comprises investments

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[52]WILLIAM J. QUIRK, "Too Big to Fail and Too Risky to Exist: FOUR YEARS AFTER THE 2008 FINANCIAL CRISIS, BANKS ARE BEHAVING MORE RECKLESSLY THAN EVER," *The American Scholar* 81, no. 4 (2012): 31–43, 41, https://www.jstor.org/stable/43870806?searchText=Dodd+frank&searchUri=%2Faction%2FdoBasicSearch%3FQuery%3DDodd%2Bfrank%26so%3Drel&ab_segments=0%2Fbasic_search_gsv2%2Fcontrol&refreqid=fastly-default%3Aa427d2deb2f72aa27b45c19b73c6c93b

[53]*The Economist,* "What really went wrong at Silicon Valley Bank," March 13, 2023, https://www.economist.com/leaders/2023/03/13/what-really-went-wrong-at-silicon-valley-bank

[54]Michael Barr, "The Dodd-Frank Act, One Year On," Brookings Institution, June 27, 2011, https://www.brookings.edu/articles/the-dodd-frank-act-one-year-on/

in entities and financial vehicles like hedge funds, private equity, venture capital, and real estate that are less regulated than traditional banking assets. The restrictions imposed by the Volcker Rule on banks' proprietary trading led to a shift in investment strategies towards less regulated, potentially more lucrative alternative assets. The risk taking practices moved into this industry, as returns would be maximized there.

The alternative asset industry also includes shadow banking and private credit, which is characterized by providing credit and liquidity outside of the traditional banking system. Shadow banking has always occurred and Dodd-Frank was not a structural solution to this.[55] As written by businessman Daniel K. Tarullo, "It is not clear that there is authority anywhere within the US government to regulate the involvement in shadow banking of certain kinds of financial institutions—including hedge funds, private equity funds, and some finance companies."[56] In another indictment of the failure of Dodd-Frank to eliminate this risk, the irony that each of the major executive branch actors during the GFC are now in the alternative asset industry: Hank Paulson (then Secretary of the Treasury), Ben Bernanke (then Chairman of the Federal Reserve) and Tim Geithner (then President of the New York Federal Reserve) all work for alternative asset firms today.

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[55]Daniel K. Tarullo, "Financial Regulation: Still Unsettled a Decade After the Crisis." *The Journal of Economic Perspectives* 33, no. 1 (2019): 61–80. https://www.jstor.org/stable/26566977https://www.jstor.org/stable/26566977?searchText=&searchUri=%2Faction%2FdoBasicSearch%3FQuery%3DDodd%2Bfrank%26so%3Drel&ab_segments=0%2Fbasic_search_gsv2%2Fcontrol&searchKey=&refreqid=fastly-default%3A7595245823cf90e38e4a72a379cfd7cc&seq=13

[56]Daniel K. Tarullo, "Financial Regulation: Still Unsettled a Decade After the Crisis." *The Journal of Economic Perspectives* 33, no. 1 (2019): 61–80. https://www.jstor.org/stable/26566977https://www.jstor.org/stable/26566977?searchText=&searchUri=%2Faction%2FdoBasicSearch%3FQuery%3DDodd%2Bfrank%26so%3Drel&ab_segments=0%2Fbasic_search_gsv2%2Fcontrol&searchKey=&refreqid=fastly-default%3A7595245823cf90e38e4a72a379cfd7cc&seq=13

Conclusion:

So long as humans can respond to incentives in the banking industry, financial crises will be inevitable. People will always ultimately find loopholes to maximize profits. This was apparent throughout the history of banking regulation, from the Glass-Steagall Act to the Dodd-Frank Act. Dodd-Frank was just another, albeit much larger, financial regulation that failed to adequately address the fundamental issue of moral hazard that continues to this day. In the end, there are only two choices —- be comfortable as a society with taxpayer funded bailouts, or regulate all profit motives in banking by effectively nationalizing it. While the former is politically troublesome, the latter is fundamentally at odds with a capitalist system, which makes the choice to accept bailouts as a feature of our system inevitable. As put by Honore de Balzac, "Laws are spider webs through which the big flies pass and the little ones get caught."[57] The US banking industry is perhaps the largest of all flies relative to the regulatory spiderweb, and has yet to be caught.

[57]Honoré de Balzac, *The Firm of Nucingen*, James Waring, (The Floating Press, 2014) 89.

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